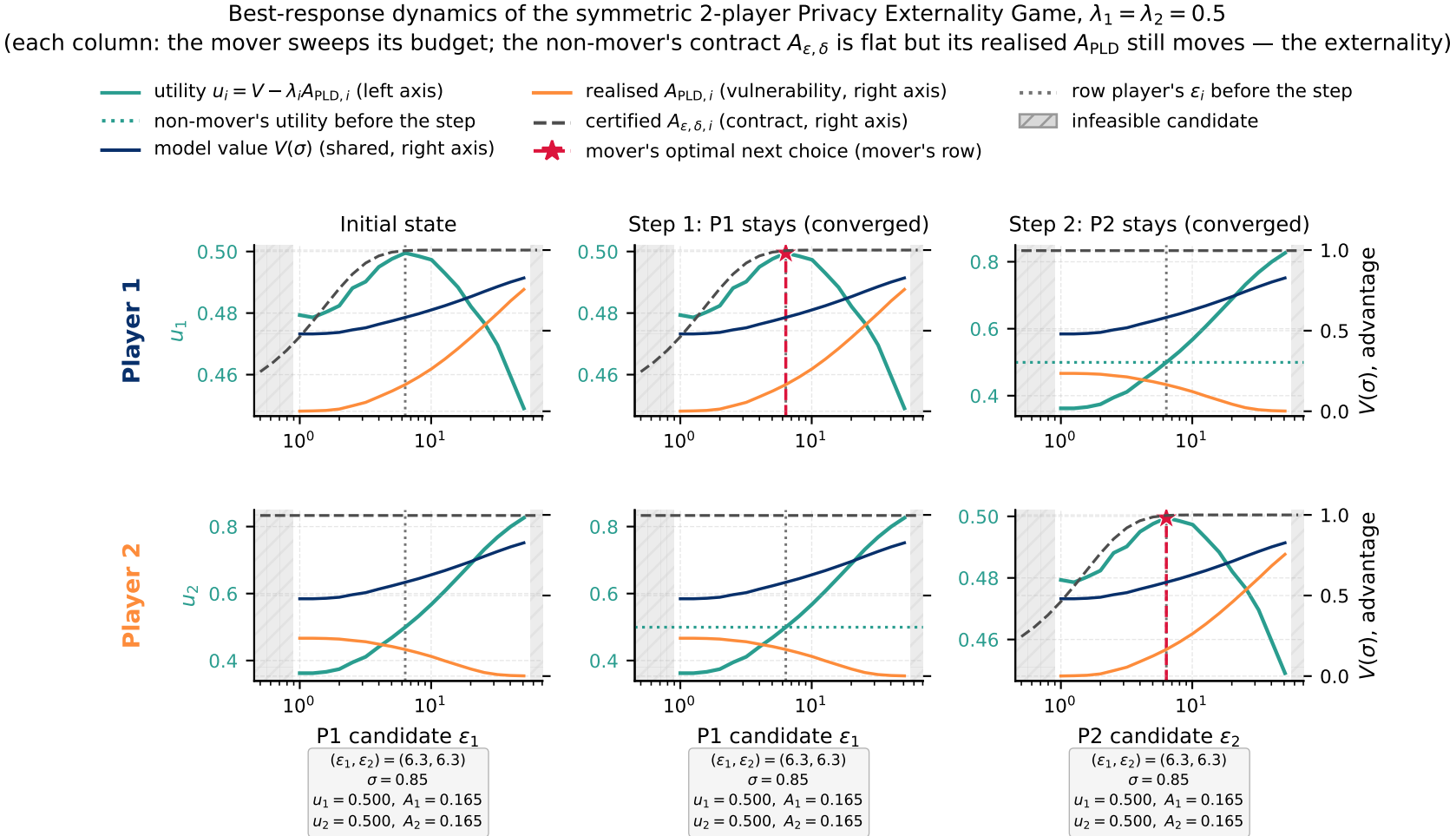
Best-response dynamics of the symmetric 2-player Privacy Externality Game, $\lambda_1 = \lambda_2 = 0.5$
(each column: the mover sweeps its budget; the non-mover's contract $A_{\varepsilon,\delta}$ is flat but its realised A_{PLD} still moves — the externality)
utility $u_i = V - \lambda_i A_{\mathrm{PLD},i}$ (left axis)
non-mover's utility before the step
model value $V(\sigma)$ (shared, right axis)
realised $A_{\mathrm{PLD},i}$ (vulnerability, right axis)
certified $A_{\varepsilon,\delta,i}$ (contract, right axis)
mover's optimal next choice (mover's row)
row player's ε_i before the step
infeasible candidate
Initial state
Step 1: P1 stays (converged)
Step 2: P2 stays (converged)
Player 1
Player 2
u_1
u_2
$V(\sigma)$, advantage
P1 candidate ε_1
P1 candidate ε_1
P2 candidate ε_2
$(\varepsilon_1, \varepsilon_2) = (6.3, 6.3)$
$\sigma = 0.85$
$u_1 = 0.500,\ A_1 = 0.165$
$u_2 = 0.500,\ A_2 = 0.165$